

NVIDIA Corporation

NVDA NASDAQ

Buy

\$234.65 ▲ 1.64%

12M Price Target
\$275.00

52-Week Range
\$164.27 – \$237.87

Market Cap
\$5.67T

NVDA: New Highs as AI Capex Supercycle Keeps Humming

WHAT HAPPENED

- NVDA pushed to a fresh 52-week high (\$234.65, +1.64%) on lighter volume than last week — that's a quiet grind higher, which is actually the healthier kind of rally. No news, no filings, just steady buying as tech led the tape (+0.99%). Translation: this is institutional accumulation, not retail FOMO.
- But under the hood, the options market is flashing a yellow light — massive put buying at \$235 and \$237.50 strikes (139x normal open interest on one line). Someone big is either hedging a huge long position or betting on a short-term pullback right at these highs.

WHY IT MATTERS

Here's the tension to think about: the stock is making new highs, but insiders are dumping (Director Mark Stevens sold \$298M worth two weeks ago, and the General Counsel unloaded \$6.8M) AND unusual put activity is piling up right at current levels. That doesn't mean the thesis is broken — insiders sell for lots of reasons and smart money hedges winners — but it tells me the easy money near-term has been made. The bigger picture is still intact: hyperscaler capex (what Microsoft, Google, Meta, Amazon spend on data centers) is tracking toward \$500B+ next year and NVDA captures the lion's share. What to watch: if the stock can't hold \$230 after this run, that put wall becomes a magnet and we could see a quick flush to \$215-220 — which would be a gift, not a problem.

POLICY & POLITICAL WATCH

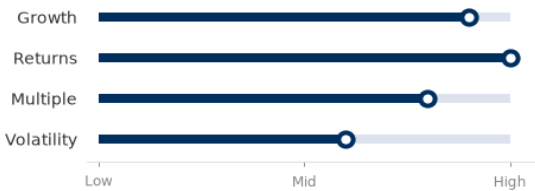
Two policy threads matter right now: (1) the ongoing US-China chip export control regime — the administration has kept Blackwell-class chip restrictions in place, which caps China revenue but is already priced in; any surprise loosening would be a pop, any tightening (like adding Southeast Asia transshipment rules) would hurt. (2) The federal "sovereign AI" push — the government is actively funding domestic AI infrastructure through DOE national labs and DoD contracts, and allied governments (UK, Saudi, UAE, Japan) are inking multi-billion dollar NVIDIA deals with implicit US blessing. Net-net the policy environment is a tailwind: Washington wants NVDA to dominate globally as long as China doesn't get the top chips.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$234.65
12M Price Target	\$275.00
Upside / (Downside)	+17.2%
Market Cap	\$5.67T
FY2027E Revenue	\$245M
FY2028E Revenue	\$310M
FY2027E EPS	\$5.85
FY2028E EPS	\$7.60
Fwd P/E	40.1x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$250.00	\$240.00	\$220.00
6 Months	\$285.00	\$260.00	\$210.00
1 Year	\$320.00	\$275.00	\$190.00
2 Years	\$400.00	\$330.00	\$180.00
5 Years	\$600.00	\$450.00	\$200.00
10 Years	\$900.00	\$650.00	\$250.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Tech (+0.99%) and Consumer Discretionary (+1.28%) leading — classic risk-on tape. Tech's 5-day (+1.78%) is the only sector green on the week, meaning money is concentrating in AI/semis specifically, not broad market.

COOLING OFF: Comm Services (-2.31% on the week) and Materials (-1.62%) — the "everything rally" is narrowing to AI winners, which historically happens late in a tech cycle (something to file away).

ROTATION WATCH: Money is rotating OUT of defensives and INTO AI infrastructure as rate cut expectations firm up and the government's AI priorities become clearer. That's a direct tailwind for NVDA and the semi complex.

RELATED PLAY: If NVDA keeps running, the second-order winners are the power/cooling plays (Vertiv, Eaton) and the memory makers (Micron, SK Hynix) — data centers need way more electricity and HBM memory than anyone forecasted a year ago.

WHO'S WINNING IN THIS SPACE?

- AVGO (Broadcom): Winning on custom AI silicon deals with hyperscalers — the "if you can't beat NVDA, partner with Broadcom" trade.
- VRT (Vertiv): Data center cooling and power — pure derivative play on NVDA's chip volume shipping into actual buildings.

NVDA CONTEXT: NVDA is leading its peer group (at 96% of its 52-week range) which is a bullish tape signal — the generals are in front. When the leader keeps printing highs on normal volume, you stay long until proven wrong. The warning sign would be NVDA stalling while AVGO/AMD keep running — that would signal rotation within the AI trade.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

Position Size: 4-6% of portfolio

Entry Points: \$215-225 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Hyperscaler capex cuts, China export ban escalation, or data center demand rolling over

Hedging: Long SMH (semi ETF) puts or pair with short AMD to isolate NVDA-specific risk